Bijoy Capital Institute of Professional Learning

Upgrade, Upskill, Uplift

Introduction to Mutual Funds

Understand the basics and structure of mutual funds.

What is a Mutual Fund?

An investment vehicle that pools money from many investors to invest in a diversified portfolio of stocks, bonds, or other securities.

Why it exists: *To provide individual investors with professional management and diversification.*

How Mutual Funds Work:

Fund Manager invests the pooled money in various assets.

Mutual Fund Structure:

Understanding NAV:

$$\text{NAV (Net Asset Value)} = \frac{\text{Fund's Total Assets} - \text{Total Liabilities} \;/\; \text{Number of Units}}{\text{Number of Units}}$$

***NAV** represents the per-unit value of the mutual fund.*

Mutual Fund vs. Stocks vs. Bank Deposits:

Mutual Funds	Stocks	Bank Deposits
Diversified & Managed	Direct Investment	Fixed Interest
Risk: Medium	Risk: High	Risk: Low

Activity: *Read 2 mutual fund fact sheets (eg, from HDFC or SBI MF)*

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Types of Mutual Funds

Learn classification and purpose of different fund types.

Open-ended Funds

Can be bought & sold anytime

Close-ended Funds

Fixed term, traded on exchanges

Interval Funds

Available at specific intervals

Equity Funds

- Invest in Stocks
- High Risk, High Return

Debt Funds

- Invest in Bonds
- Low Risk, Stable Return

Hybrid Funds

- Mix of Equity & Debt
- Balanced Risk & Return

Tax Saving (ELSS) Funds

- Equity Linked Savings
- Tax Benefits

Activity: Compare Mutual Funds

Compare 3 Funds on Groww or Moneycontrol

	Equity Fund	Debt Fund	Hybrid Fund
Investment Focus	Stocks	Bonds	Stocks & Bonds
Risk Level	High	Low	Moderate
Return Potential	High Return	Stable Return	Balanced Return

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Key Concepts and Performance Metrics

Goal: Learn how to evaluate and analyze a mutual fund.

Topics Covered:

Expense Ratio & Entry / Exit Load

- **Expense Ratio:** Annual fee as a percentage of assets.
- **Entry & Exit Load:** Charges when buying or selling fund units.

Alpha & Beta

- **Alpha:** Measure of excess return over the benchmark.
- **Beta:** Fund's sensitivity to market movements.

Sharpe Ratio & Standard Deviation

- **Sharpe Ratio:** Risk-adjusted return measure.
- **Standard Deviation:** Volatility of fund returns.

Benchmark & Peer Comparison

- Comparing fund performance to the market index and similar funds.

Activity

- **Analyze One Top-Performing Fund** and **One Poor-Performing Fund**
- Compare key metrics to identify strengths and weaknesses.

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Investment Methods & Taxation

Goal: Understand how to invest and tax implications.

Investment Methods

Different ways to invest your money.

SIP
(Systematic Investment Plan)

Invest regularly in small amounts.

SWP
(Systematic Withdrawal Plan)

Withdraw fixed amounts regularly.

STP
(Systematic Transfer Plan)

Transfer from one fund to another.

Lump Sum Investing

Invest a large amount at once.

Taxation on Funds

Understanding tax rules on investments.

Equity Funds

- STCG: Short Term (less than 1 year) - **15%**
- LTCG: Long Term (more than 1 year) - **10%** over ₹1L

Debt Funds

- STCG: Short Term - as per tax slab
- LTCG: Long Term - **20%** with Indexation

Indexation

Adjusts the purchase price for inflation.

ELSS

- Equity Linked Savings Scheme
- Tax benefit with 3 year lock-in.

Activity: Calculate SIP Returns!

Use an Online SIP Calculator to see your potential returns.

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Fund Selection & Portfolio Building

Goal: Learn to build and manage a mutual fund portfolio.

Topics Covered:

Choosing Mutual Funds (5-Step Checklist)

1. Define Your Goals
2. Assess Fund Performance
3. Check Fund Fees
4. Evaluate Fund Manager
5. Review Fund Strategy

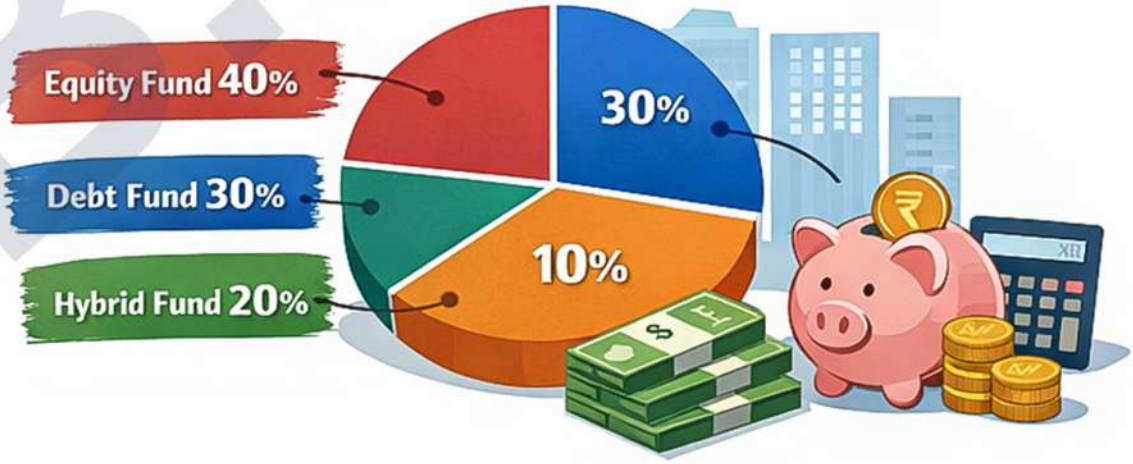
Diversification & Risk Profiling

Portfolio Allocation & Rebalancing

Activity:

Design Your Own ₹10,000/Month SIP Portfolio!

Plan your SIP portfolio with a **₹10,000** monthly investment.



Create Your Ideal Mutual Fund Portfolio!

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Practical Investing & Advanced Topics

Goal: Apply learning to real-world investing.

Topics Covered:

- How to invest online (Groww, Zerodha, AMC websites)
- Reading Mutual Fund Statements
- Passive vs Active Investing, ETFs, Index Funds, International Funds
- Behavioral Finance in Investing

Activity:

- Start a mock or small SIP and track NAV weekly

Course Outcome:

- Understand all mutual fund types and terms
- Analyze and compare mutual funds confidently
- Start SIPs and track performance
- Plan a diversified mutual fund portfolio
- Qualify for NISM MF Distributor exam (if desired)

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